

MAXIMIZING RECOVERY · REFERENCE

The Placement-File Standard

What you hand us at placement is the single biggest liquidation lever you control

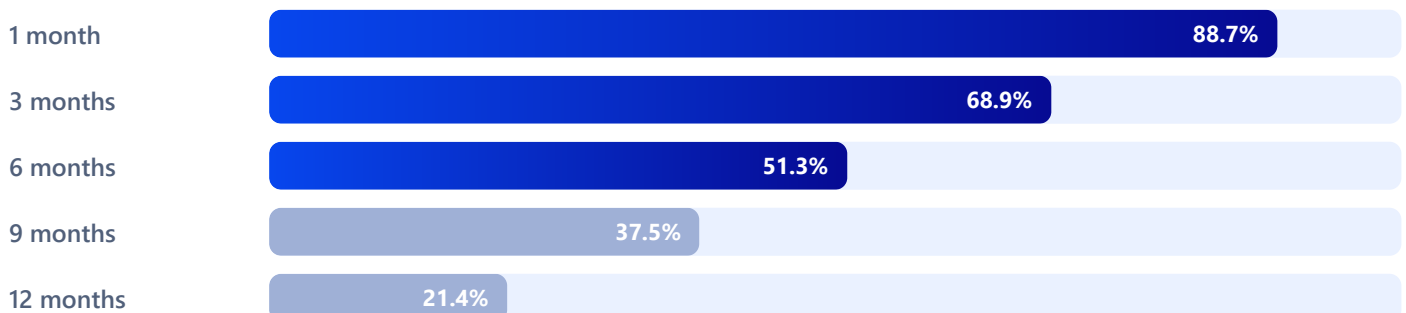
Businesses often treat a collection agency's recovery rate as something that happens *to* them. In reality, the largest share of it is decided before an account is ever worked — by what the client hands over at placement. Three variables sit almost entirely under your control and are the most correlated with what you ultimately recover: the quality of the contact data, the completeness and legal supportability of the account record, and how quickly the account is placed. This reference explains why each matters, quantifies what is at stake, and sets out a tiered placement-file standard you can hold every account to.

Executive summary — the three levers

- **Place early.** Probability of collection falls from **88.7% at one month past due to 68.9% at three months, 51.3% at six months, and 8.9% at two years** (Commercial Collection Agencies of America data, via the Credit Research Foundation). The clock starts the day the account goes delinquent in *your* office — not the day it is placed.
- **Hand over verified right-party contact data.** Right-party contact drives liquidation, yet the industry-average contact rate is only ~26%, and as many as **35% of delinquent debtors move each year** — so contact data decays fast and complete data at placement measurably lifts recovery.
- **Supply a complete, legally-supportable record.** A signed agreement, itemized balance, key dates and proof of delivery let us validate under Regulation F, resolve disputes cleanly, and escalate credible accounts — leverage that works even when litigation never happens.

1. Place early — the collectability decay curve

Aging is the most punishing variable in collections, and it is the client's to control. Industry data on collectability shows how steeply recoverability falls the longer an account sits:



The critical point is where the clock starts: recoverability begins decaying the day an account goes delinquent in your office, not the day it reaches us. An account held internally for 120 days before placement has already forfeited a large share of its value. The economics are concrete — on a \$100,000 receivable, the difference between placing at 60 days and placing at 120 days is roughly 20 percentage points of recovery probability, or about **\$20,000 of expected value** surrendered simply by waiting. As a rule of thumb, the optimal placement window is 60–90 days past due for commercial and B2B accounts and 90–120 days for many consumer and medical portfolios. The single most valuable process change most finance teams can make is to place on automated age triggers rather than holding accounts and hoping.

2. Contact data is the throttle on everything downstream

No account is recovered until the right party is reached, which makes right-party contact (RPC) the gate to liquidation — and its correlation with the recovery rate is direct. The problem is that RPC is hard to achieve and contact data decays quickly. Industry benchmarks put the average RPC rate at only about **26%**, and debtor contact information churns constantly: as many as **35% of delinquent debtors move in a given year**, and phone numbers are recycled by the tens of millions annually. The consequence is simple — the fresher and more complete the contact data at placement, the less recovery is lost to debtors who simply cannot be located.

The lift from good data is measurable. In one industry survey, more than nine in ten collectors reported improved right-party contact after adopting better contact data, and over a quarter said they had *more than doubled* their RPC rate. That is why a verified mobile number and a current email — with documented consent for electronic contact — are worth so much more at placement than a landline captured at account opening two years earlier. Contact data is not a clerical field; it is the throttle on the entire recovery.

3. A complete, legally-supportable record

Complete documentation improves collection success significantly and gives the collector a materially stronger negotiating position; incomplete documentation is one of the most common reasons recovery efforts stall. Two regulatory frameworks already define the “must-have” data spine, so meeting them is not extra work — it is the standard. **Regulation F** requires validation information keyed to an itemization date (the last statement, charge-off, last payment, transaction, or judgment date), the current creditor, the creditor as of the itemization date, the account number, and an itemization of interest, fees, payments and credits. **Metro 2** — the format for furnishing to the credit bureaus — requires the Date of First Delinquency, which anchors the seven-year reporting clock; if it is missing or wrong, tradelines are rejected or re-aged in violation of the rules.

When a client supplies these at placement, we can validate a disputed balance quickly and resume — under Reg F a written dispute pauses collection until the debt is verified, so having statements and agreements on hand is the difference between resuming in days and losing weeks. The same records convert a “chase” into an enforceable claim: the signed contract, account statements, proof of service and, for assigned debt, an unbroken chain of title are what make an account credible for suit — and that credibility strengthens negotiating leverage long before any matter reaches a courtroom. (Where accounts qualify for credit reporting, Southwest Recovery furnishes to Equifax and Experian — and, for rental accounts, Experian RentBureau.)

4. The placement-file standard

The practical way to capture all of this is a tiered file standard applied to every placement. Tier 1 is what we treat as required to work an account effectively; Tier 2 materially lifts contact and liquidation rates; Tier 3 unlocks legal escalation and clean credit reporting.

TIER 1 — REQUIRED	FIELD
Identity	Full legal name of the debtor (for B2B, the exact legal entity plus any personal guarantor); SSN for consumers, EIN/TIN for commercial.
Contact	Current mailing / service address (and prior address if available); all known phone numbers, flagged mobile vs. landline.
The balance	Account number as of the itemization date; itemized current balance — principal, interest, fees, payments, credits.
The dates	Date of first delinquency; charge-off and/or last statement date; last payment date and amount; date of service or transaction (critical for medical and B2B).
The account	Original creditor (and current creditor if different); product / service / debt type.

TIER 2 — RECOMMENDED	LIFTS RIGHT-PARTY CONTACT & LIQUIDATION
Verified digital contact	Scrubbed mobile number(s) and email address(es) with consent status for electronic communication (E-SIGN / Reg F opt-in).
Locating data	Date of birth (consumer), employer / place of employment, alternate contacts and references (within FDCPA limits), co-signers / guarantors and their contact data.
Treatment cues	Best-known contact times and channel preferences, prior payment history, prior promises to pay, prior disputes, language preference.

TIER 3 — LEGAL & REPORTING	UNLOCKS ESCALATION & CLEAN CREDIT REPORTING
The agreement	Signed contract, credit application or account agreement; terms of service and any arbitration clause.
The proof	Account statements / invoices (last statement especially); proof of service or delivery; purchase orders, delivery confirmations and communication history (B2B).
By asset class	Medical: itemized bill in plain language plus EOB, with a Business Associate Agreement in place. Assigned debt: an unbroken chain of title.

5. What good data looks like by account type

Which fields matter most — and what recovery is realistic — varies by debt type and balance. Commercial and B2B debt sits outside the FDCPA and recovers far higher on viable accounts (on the order of ~75%), but it depends on having the entity, any guarantor, and the contract, purchase order or delivery proof. Consumer debt recovers much lower on average and needs the full FDCPA / Reg F data set. Medical debt (typically ~15–25%) needs the date of service, an itemized bill, the EOB and a BAA. Auto needs collateral and deficiency detail; rental and retail installment

accounts need the lease or installment agreement. Balance also dictates treatment: small balances call for low-cost digital and self-service handling, while larger balances justify skip tracing, financial-resilience scoring and legal review — and warrant the full Tier 3 documentation set. Increasingly, behavioral segmentation on recency of last payment and propensity to pay outperforms static age-and-balance buckets — but only when the client supplies clean last-payment and account-history data.

How Southwest Recovery puts this to work

We turn this standard into a simple, low-lift intake. You place accounts through our secure client portal — bulk-uploading an export from your billing, AR or ledger system — and we map your columns to the tiered fields above, so there is no manual re-keying and Tier 1 accounts can begin work within 24–48 hours. Where Tier 2 and Tier 3 data are available, they are treated as recovery accelerators, not paperwork. And because timing is the most punishing variable, we will help you set automated age triggers so accounts are placed inside the optimal window rather than aging quietly toward a write-off. The result is a placement process in which the three things most under your control — data completeness, data freshness, and placement timing — are working for your recovery rate instead of against it.

We also make the payoff measurable. Rather than reporting a single blended recovery number, we break liquidation out by vintage and placement age — a ladder view that shows, on your own portfolio, exactly what earlier placement and cleaner data are worth. That transparency turns the three levers in this paper from theory into a figure you can manage quarter over quarter: place inside the window, hand over verified contact data, and supply a complete, legally-supportable record, and you will have moved the variables most correlated with recovery before we ever make the first call.

About Southwest Recovery Services

Southwest Recovery Services is a commercial and consumer receivables recovery firm working accounts on pure contingency since 2004, for finance teams across the country — from B2B and SaaS balances to trade, healthcare, property-management and professional-services receivables. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts, with nationwide reach across all 50 states from 12 offices in 7 states. The model is pure contingency — no upfront fee, no retainer, no minimum — backed by a documented, Reg F-compliant process, ACA International membership, and a clean compliance record since 2004.

Get the most out of every placement

Send us a representative sample of your past-due accounts and we'll show you, against your own file, where completeness, freshness and timing are costing you recovery — and put a contingency rate against it.

Call (866) 551-4684 · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Statistics are drawn from third-party industry sources (Commercial Collection Agencies of America / Credit Research Foundation, MaxContact, LexisNexis, TransUnion) and describe industry patterns, not a guarantee of results. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.